



Farm Household Allowance

Income test explained

December 2025

Farm Household Allowance (FHA) is an Australian Government support package for commercial-scale farmers and their partners doing it tough. To receive FHA, you must meet the income test, assets test and other qualification criteria.

Income

The income limit is the same as Youth Allowance if you are under the age of 22, or JobSeeker payment, if you are aged 22 or over.

Like other social security payments, if your total income is over the limit, you will not receive payment.

However, FHA payment is not tapered - it is the same as the maximum rate of Youth Allowance or JobSeeker payment (depending on your age and family situation).

Ordinary Income

Income from all sources is added up, including **personal earnings, business profits, monies or valuable considerations**. Special rules apply for certain types of income, such as compensation payments, lump sums and income from financial investments and trusts and companies.

FHA is paid **based on your latest tax return** or, if the business income has changed significantly since then, an **estimate of your business income**. Business income estimates should reflect current income and must be updated whenever that changes. Only profit is included as income.

If you are partnered, your partner's income can affect your payment.

Exempt lump sums

Some one-off and unexpected income amounts may be exempt from assessment. For example, income from forced disposal of livestock (if you deposit it in your Farm Management Deposit account), or emergency relief lump sums, such as government assistance for bushfires, drought or flood financial assistance. Ordinary income for the work you do or the services you provide is not exempt.

Off-farm income offset

FHA recognises that many farmers rely on off-farm income to support the farm enterprise rather than using that income for self-support. Off-farm income can include other employment, rental income, profit from other businesses, or dividends from shares and other investments.

If your farm enterprise and/or related business is making a loss, it can reduce your ordinary income **by up to \$100,000 a year, or the amount of the loss (whichever is the lesser).**

The total maximum \$100,000 limit applies to a person, or if you are partnered, to a couple.

If more than one person involved in the farm business is paid FHA, you can agree how to share the business losses.

Related business

A business is a related business of a farm enterprise if it mainly provides goods or services to the agricultural or aquacultural industries, and has a sufficient commercial relationship with the farm enterprise. Examples include agistment, harvest contracting, processing of the produce grown on the farm and fencing services.

Example of application of income test

John is a 52-year-old grain grower. Both him and his partner receive FHA. John has a casual job and earns \$1,100 gross in a fortnight. This is the only income to be considered as the farm is breaking even and his partner does not have any other income. The income-limit is \$1,391.67 per fortnight (as of January 2026).

As John's and his partner's income is less than the threshold, they both will be paid the maximum rate.

Off-farm income offset example

Mark and his wife Sally have a fruit orchard. They process some of the harvested fruit into juice, jam and cordial, which Sally sells through her business. Sally does not have any other income and receives the maximum rate of FHA. Mark earns \$105,000 off-farm income as a business consultant. The farm has been affected by severe weather events and is forecasting \$140,000 loss. Sally's produce business is also expected to incur a \$10,000 loss.

The combined loss of the farm and its related business in the current year is \$150,000.

Mark's ordinary income of \$105,000 can be reduced by the business losses up to the maximum amount of \$100,000, leaving him with assessable income of \$5,000. As this amount is below the income threshold, Mark will also receive the maximum rate of payment.

More information

Learn more about:

- FHA - www.servicesaustralia.gov.au/farm-household-allowance
- Income and assets - www.servicesaustralia.gov.au/income-and-assets-test-for-farm-household-allowance
- Lump sums - www.servicesaustralia.gov.au/lump-sums-while-income-support

Call the Farmer Assistance Hotline on **132 316** to discuss eligibility and ways to apply for FHA.

Acknowledgement of Country

We acknowledge the Traditional Custodians of Australia and their continuing connection to land and sea, waters, environment and community. We pay our respects to the Traditional Custodians of the lands we live and work on, their culture, and their Elders past and present.

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